

EARNINGS

Good Run to Continue

After a healthy Q1, the earnings momentum is expected to continue for India Inc. in the second quarter of FY24

BY RAHUL OBEROI

► **IT'S EARNINGS SEASON** again, and the overall mood in corner offices seems upbeat. There are expectations that a further strengthening of the banking and financial sector—which makes up 35.95 per cent of the benchmark Nifty 50 index—and a revival in capex might boost India Inc.'s second quarter results in FY24.

But, with global demand weakening and uncertainties persisting, IT firms may miss their revenue estimates. Separately, an increase in crude prices and high inflation are expected to impact the bottom lines of consumer staples, oil marketing companies (OMCs), airlines, and paint manufacturers, analysts say.

From a macroeconomic perspective, inflation eased to 6.83 per cent in August from 7.44 per cent in July due to a decline in food and vegetable prices, but continued to stay above the Reserve Bank of India's

20-25
per cent

**LIKELY YOY GROWTH
IN EARNINGS OF
BANKS IN Q2FY24**

tolerance level of 6 per cent.

India Inc. will deliver “good numbers” in the September quarter, believes V.K. Vijayakumar, Chief Investment Strategist of Geojit Financial Services. “The overall Q2 results will remain in line with the Q1 results,” he says. Nifty 50 firms, however, posted a 2.3 per cent year-on-year (YoY) fall in consolidated net profit despite a 26 per cent YoY rise in gross sales during Q2FY23. Further, a report from Nuvama Institutional Equities states “We forecast revenue/PAT growth for our coverage universe (excluding OMCs) would be 6-18 per cent YoY”.

Like in the last few quarters, Vi-

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